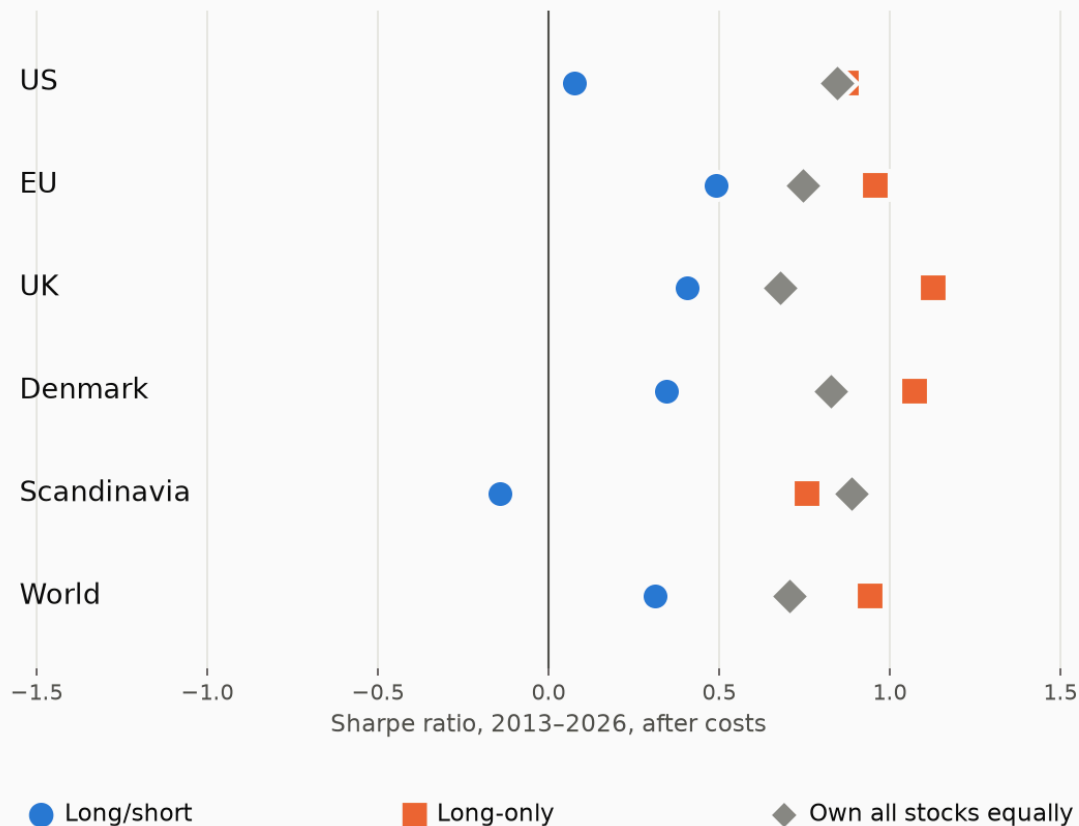


Momentum

Buy last year's winners, sell last year's losers



Long/short positive in 5 of 6 markets; long-only beat owning all stocks in 5 of 6.

Henrik Gjernerig · Project 10 · point-in-time universes, local currency (World in USD)

Henrik Gjernerig · LinkedIn

Stocks that did best over the past year keep outperforming the worst over the next months. Jegadeesh & Titman (1993) found about 1% a month for US stocks in 1965–1989; Asness, Moskowitz & Pedersen (2013) found it in every major equity market and asset class.

I tested it on six markets, 2013–2026: US, Europe, UK, Denmark, Scandinavia and the world. Point-in-time index members, after costs.

Long/short (winners minus losers): -2.1% to +9.8% a year, positive in 5 of 6 markets. Adjusted for market beta: +2.1% to +16.7%.

Long-only (winners): a better Sharpe than owning all the stocks equally in 5 of 6 markets.

The pre-declared fixes (beta-neutral legs, a turnover buffer, volatility targeting) took the 2020–26 holdout Sharpe from 0.18 to 0.56.

360° view: it keeps some information beyond its nearest neighbours.

Full factsheet with P&L, trade records, drawdowns, factor attribution, fixes, classification and the 360° view: <https://hgjernerling.github.io/now-showing/factsheets/fs03-momentum>

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